PORTLAND PUBLIC SCHOOLS

Overview of the Office of Performance Audit (OIPA)

Audit Committee Meeting:
October 16, 2025

Agenda

- Internal Performance Audit Team
- What is Internal Performance Auditing?
- Policy and Charter
- Purpose and Mission
- Audit Standards
- Ethics and Professionalism
- Governing the Internal Audit Function
- Essential Conditions
- Key Performance Indicators (KPIs)

Internal Performance Audit Team

Janise Hansen, CIA

- PPS Senior Internal Performance Auditor for the last six years - hired Sept. 2019
- Served as the Senior Internal Performance Auditor at Seattle Public Schools during the 2018-2019 school year
- Eight plus years of experience auditing local government agencies throughout western Washington, including school districts ranging in size from approximately 3,000 to 53,000 students

Mary Catherine Moore

- PPS Internal Performance Auditor for the last six years - hired March 2019
- Served as a Compliance and Internal Auditor at Providence Health & Services for ten plus years
- Graduate of Grant High School

What is Internal Performance Auditing?

Internal Audit:
An independent, objective assurance and advisory service designed to add value and improve an organization's operations. It helps an organization accomplish its objectives by bringing a systematic, disciplined approach to evaluate and improve the effectiveness of governance, risk management, and control processes.

Performance Audit:
Provides objective analysis, findings, and conclusions to assist management and those charged with governance and oversight with, among other things, improving program performance and operations, reducing costs, facilitating decision making by parties responsible for overseeing or initiating corrective actions, and contributing to public accountability.

Policy and Charter

Policy: PPS Board Policy 1.60.040-P: District Performance Auditing - last updated in Jan. 2024
Charter: PPS Internal Performance Audit Charter - approved by PPS Board on 10/15/2019

The policy and charter describe the Office of Internal Performance Audit:

- Purpose and Mission
- Audit Standards
- Authority and Access to Employees Records and Property
- Independence & Objectivity
- Responsibilities
- Scope

Purpose and Mission

State and local governments can enhance credibility with taxpayers by implementing performance audits to support accountability and guarantee that tax dollars are spent as effectively as possible.

The purpose of internal performance audit function is to help improve the accountability and performance of PPS through independent auditing and reporting.

The goal of these audits is to improve program effectiveness; improve equity of service delivery; provide useful, objective, and timely information; strengthen administrative and management systems and controls; facilitate decision-making by parties with responsibility for overseeing or initiating corrective action; and improve student achievement District-wide.

The objectives of performance audits vary, but generally address whether PPS is operating economically and efficiently, and/or whether it is achieving desired results.

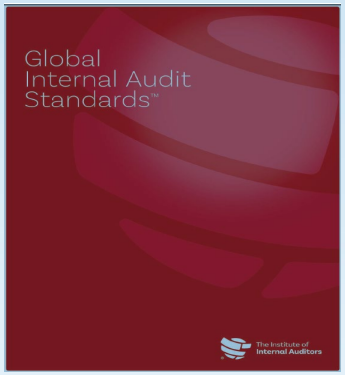
Audit Standards

The US Government Accountability Office (GAO) issues **Generally Accepted Government Auditing Standards** (**GAGAS**) – also known as the **Yellow Book**



- 2024 Revision issued in February 2024
- The 2024 revision of Government Auditing Standards is effective for performance audits beginning on or after December 15, 2025
- Relationship between GAGAS and other professional standards

The Institute of Internal Auditors (IIA) issues the **Global Internal Audit Standards** - also known as the **Red Book**



- Published January 2024
- Effective as of January 2025

Ethics and Professionalism

Principles of Ethics and Professionalism:

- Demonstrate Integrity
- Maintain Objectivity
- Demonstrate Competency
- Exercise Due Professional Care
- Maintain Confidentiality

Governing the Internal Audit Function

Required Communications: The auditor **must** discuss governing the internal audit function with the Board and Senior Management. The discussion should focus on:

- The Purpose of Internal Auditing
- Essential Conditions - Nine categories
- The potential impact on the effectiveness of the internal audit function if the Board or Senior Management does not provide the support outlined in the essential conditions

Essential Conditions Categories

1. Internal Audit Mandate
2. Internal Audit Charter
3. Board and Senior Management Support
4. Organizational Independence
5. Chief Audit Executive Qualifications
6. Board Interaction
7. Resources
8. Quality
9. External Quality Assessment

See details of each essential condition in the Essential Conditions document.

Key Performance Indicators (KPIs)

KPI 1: Number of audits completed per full time equivalent (FTE) employee – **Target 1.5 audits per FTE**

KPI 2: Recommendation implementation rate (within two years of report date)– **Target 75%**

KPI 3: Rate of management's agreement with recommendations – **Target 75%**

Informational Auditee Survey: The Chair of the Audit Committee sends out the Auditee Feedback Survey, receives and compiles feedback, and provides aggregated results to the Office of Internal Performance Audit.

Benchmarking Data

September 2025 - The Council of Great City School issued a white paper titled Internal Auditing in the Great City Schools.

The white paper is intended to describe leading practices in internal auditing and demonstrate the value of internal audit function brings to a school district.

The white paper includes benchmarking data from 31 school districts (including PPS) as January 2025.

Questions?